6.6 The Economics of Healthcare

Video: The Economics of Healthcare (Crash Course Economics)

Why Healthcare Is Different

You never know when you will need healthcare, and it can be expensive, which is why we have _____.

Private insurers collect _____; public insurance programs collect money from _____. Healthcare is never truly free.

Healthcare Systems Around the World

Country	System
Canada	Government funds care for everyone through taxes; often called a _____ system
France	Citizens are required to get insurance through several _____ insurance funds; most providers are private
U.K.	A _____ system funded and controlled by the government; most doctors and hospitals are paid by the government
U.S.	A little of everything: mostly private providers and private insurance, plus _____ for seniors, _____ for low-income households, and the VA for veterans

Three Criteria: Access, Cost, Quality

Economists evaluate a healthcare system on three criteria: _____, cost, and quality.

Access: in 2014, 10.4% of Americans did not have health insurance. The uninsured often work a part-time or _____ job.

Cost: in 2012, the U.S. spent $8,745 per person, about twice as much as most other developed countries.

Why Does the U.S. Spend More?

Quantity of care: patients may use more care when insurers pay. Many plans use _____, where patients pay part of the cost first.

Prices: U.S. providers are paid much higher _____ (an MRI costs about $1,500 in the U.S. vs. $200-$400 elsewhere).
_____: paperwork between many insurers and providers.

Most of the difference comes from the higher prices paid to U.S. providers.

Quality: the U.S. does well treating conditions like heart disease and some cancers, but has higher rates of hospital admissions for _____.

Reform and the Affordable Care Act

The _____ is the relationship between members of Congress, government bureaucrats, and _____, which tends to maintain the status quo.

In 2010 the U.S. passed the _____. It requires insurers to cover people with _____, requires everyone to get insurance or pay a fee, and subsidizes premiums.

It has reduced the number of uninsured Americans; its effects on cost and quality are harder to assess, and the law has been controversial.

The recurring economic question: when, if ever, should the _____ get involved to help markets reach the most effective, efficient, and fair outcome?

Think About It

Which of the three criteria (access, cost, or quality) do you think matters most in a healthcare system? Explain your reasoning. _____